

ered to be volatile. “Retail investors should typically stay away from the SME segment. However, given the kind of listing premium some companies have seen, retail investors do get attracted. Even if one just factors in inflation, there is a strong case for the limit to be increased,” says Haldea of Prime Database.

Meanwhile, even as some trends in the SME segment may look worrisome, not every SME IPO sees the entry of an operator as there are issues that see genuine demand as well with companies boasting of strong fundamentals and growth potential.

NOT EVERYTHING IS DIRTY

“Some of the SME IPOs have seen huge oversubscription but we believe that this demand is genuine, and the segment is now seeing some well-known banks and other institutional investors also participating,” says Nikhil Shah, Director of Beeline Capital Advisors, one of the leading merchant banking firms in the SME arena.

“The quality of companies coming in the listed SME

a long way to go as government data shows that there are more than 60 million registered SMEs in the country.

Shah of Beeline believes SME IPOs have started playing a crucial role in meeting the capital requirements of such companies, especially in the absence of private equity and venture capital. While that may be true, it is a fact that SME platforms have witnessed trends that do raise eyebrows. “Some trends in the space are quite surprising. For instance, a manufacturing SME coming up with an IPO to raise ₹2-3 crore. What will it achieve with ₹2 crore?” asks a person who has tracked the segment closely.

“Many SME promoters are constantly glued to their TV sets and they only track the stock market. Manipulating stock prices and pushing up the valuation is far simpler than pushing up the earnings of the company,” the person adds.

TIME TO BUCKLE UP

Market watchers say Sebi will definitely tighten the norms for SME IPOs in the near future and participants

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space is improving and they have a huge potential to grow. Hence, we are seeing such listing premiums. Many a time, the IPOs are priced at low or attractive valuations and that is also a key reason for the strong post-listing performance,” Shah explains.

Indeed, well-known banking majors, including HDFC Bank, ICICI Bank, Canara Bank and Bank of America have started participating in the SME segment.

Data from Prime Database further shows that even Sebi-registered foreign portfolio investors (FPIs) and Alternative Investment Funds (AIFs) participate in the segment with names like Morgan Stanley Asia (Singapore), India Max Investment Fund, Société Générale ODI, Elara India Opportunities Fund, regularly featuring in the list of anchor investors.

“Institutional investors are also now participating in some SME IPOs; this has brought greater amount of comfort and credibility to the segment,” says Haldea. This assumes significance because even while the SME segment has grown substantially over the past decade, there is still

need to prepare themselves for a much tighter regulatory framework. Rules related to pre-IPO allocations could be tightened while ensuring that regulations are put in place to restrict *benami* transactions—where an asset is transferred to one person but paid for by another—and the outsourcing of core activities, especially by merchant bankers, say market experts. The onus would be on market makers for additional disclosures to ensure that the sources of capital used for such market-making activities are properly disclosed. Further, Sebi could well do with a review of the minimum trade size in the segment.

A mix of surveillance action and regulatory changes is what is needed to bring in more transparency and accountability to a segment that has grown by leaps and bounds in the past 11 years. The process has already started and the market has got the hint that the regulator is not going to be a silent spectator. And that could only be good news for investors. **BT**

@ashishrukhaiyar